AIT Residential Core Lease Agreement

Final review draft

For the owner's final review. This Core forms part of the AIT Lease Kit and uses the Lease Certificate for the agreed particulars. Read it with the separate final-review decision register. It is not approved for signature or issue.

1 Agreement components and interpretation

1.1 The agreement consists of the Cover, Lease Certificate, this Core Lease Agreement, the expressly agreed Supplementary Conditions, and the Signature Page, together with attachments expressly identified and incorporated by those components. They must relate to the same lease reference and agreed revisions. If no Supplementary Conditions are agreed, their recorded status is None; no blank conditions page is required.

1.2 The Certificate identifies the contracting Lessors and Lessees, the Premises and Unit, commencement, duration and expiry, monthly rental, deposit and Lessor payment banking particulars. Those particulars are incorporated by reference and are not restated here. The Cover identifies the agreement but does not independently change its particulars or obligations.

1.3 The Core sets out the standard residential obligations. A Supplementary Condition varies a Core obligation only if it identifies the affected Core clause, states precisely what is supplemented, replaced or disapplied, and is expressly agreed by the parties in the required form. A heading or an unaccepted draft does not create a variation.

1.4 Mandatory law prevails. The Certificate governs the agreed particulars. An expressly identified and agreed Supplementary Condition governs its specified variation of this Core; otherwise this Core governs the standard obligations. A change to a Certificate particular requires an expressly agreed revision or amendment identifying that particular. Neither the Cover nor an unidentified attachment overrides substantive terms.

1.5 An unresolved inconsistency must be identified in writing and resolved expressly; it does not authorise either party to introduce an unagreed value or treat a disputed provision as settled. This provision does not suspend an undisputed obligation or mandatory right.

1.6 Lessor and Lessee refer to the contracting parties in the Certificate, not automatically their representatives. Premises includes only the identified dwelling or Unit and agreed ancillary rights. A business day excludes Saturdays, Sundays and South African public holidays. Except where stated otherwise or required by law, a day is a calendar day.

2 Grant and identification of premises

2.1 The Lessor lets the Premises identified in the Certificate to the Lessee for residential occupation on the terms of the agreement. The Lessor must have lawful entitlement and authority to grant that occupation; the necessary entitlement and authority must be established.

2.2 The Certificate's property description and Unit identify the agreed premises. An area, excluded space, parking bay or plan is incorporated only where expressly agreed and identifiable. No measured extent, unit count or plan boundary is inferred from a textual Unit description.

2.3 The Lessor must disclose applicable title, conduct or access restrictions relevant to the agreed residential use and provide any incorporated rules. The Lessee must comply with lawful, disclosed restrictions. An undisclosed restriction is not incorporated by a general reference alone.

2.4 The Lessor must provide the agreed lawful access and occupation. Any outstanding construction, delayed availability, special works or separate handover arrangement must be

expressly agreed; this Core does not presume commercial development or give a blanket acceptance of construction inconvenience.

3 Commencement term occupation and renewal

3.1 The contractual term is the commencement, duration and expiry stated in the Certificate, subject to lawful early termination or an expressly agreed or legally required continuation. The fixed term must satisfy any applicable statutory limits.

3.2 Handover and actual occupation must be recorded accurately in the inspection or handover record. They are not automatically treated as the commencement date if the facts differ. The parties must resolve any effect on rent, defects or availability expressly.

3.3 The three-month renewal-notice date shown in the Certificate is an administrative review date. It does not grant an option to renew, create a further fixed term, waive breach, determine future rental or replace a statutory notice or continuation requirement.

3.4 Either party may request a renewal discussion before expiry. A further fixed term requires express written agreement on its duration, rental and any adjustments. Failure to agree does not itself create a new contractual fixed-term right. Any continuation or termination required by law remains effective.

3.5 Where section 14 of the Consumer Protection Act applies, the Lessor must give the prescribed expiry notice between 40 and 80 business days before expiry, and the statutory month-to-month continuation rules apply unless the Lessee directs termination or agrees a further fixed term. Where section 5(5) of the Rental Housing Act applies to continued occupation with the Lessor's consent without a further written lease, the resulting periodic lease is subject to its notice requirements, including at least one month's written notice of termination. These requirements are not replaced by the Certificate's calculated date.

4 Permitted use occupation and property rules

4.1 The default use is residential occupation of the Premises. Business-hours occupation, commercial trading, specialised care or institutional operations, paid accommodation operations and commercial development are not standard permissions or obligations under this Core. Any proposed specialised or commercial use requires an expressly agreed Supplementary Condition and any required permissions.

4.2 The Lessee may occupy with the household and ordinary guests consistent with the agreed dwelling, lawful occupancy limits and applicable rules. The Lessee remains responsible for conduct within its control. Any special occupancy limit or operating arrangement must be lawful and expressly agreed.

4.3 Subletting, transferring possession or granting third-party occupation beyond ordinary residential household/guest use requires the Lessor's prior written consent where law permits that requirement. Consent must be considered reasonably and must not conflict with an expressly approved resident arrangement.

4.4 Each party must use shared access and facilities reasonably, without nuisance, obstruction, unlawful activity or interference with others. Only identified, supplied and applicable property rules are incorporated. Material new obligations or charges cannot be introduced by merely changing an undisclosed rule.

5 Rental payment tax and interest

5.1 The Lessee must pay the monthly rental stated in the Certificate into the Lessor payment account identified there, subject to an expressly agreed amendment or lawful change notice. The

full reference and account particulars remain in the Certificate; the Core does not supply replacement amounts or accounts.

5.2 Rental is payable monthly in advance on the first day of each month. If that day is not a business day, payment is due on the next business day.

5.3 If the term begins or ends part-way through a rental month, the parties must expressly agree the first or final payment period and any apportionment before payment is required under that arrangement. No unagreed daily rate or partial-period amount is imposed.

5.4 There is no automatic rental, parking or deposit escalation. An adjustment applies only if expressly agreed in Supplementary Conditions identifying its amount or method, frequency, effective date and affected obligation. No increase arises merely from an anniversary or a previous lease.

5.5 Tax must be dealt with as applicable law requires and the agreed rental basis must be unambiguous. Contractual interest, an administration fee or any other additional charge is payable only on a lawful, expressly agreed basis. The Lessor must provide written receipts and intelligible records identifying payments, their purpose and the relevant periods as required by law.

5.6 The Lessee must not treat the deposit as the last month's rental. Payment obligations remain subject to lawful deductions, set-off, remission and other mandatory rights, including rent relief under chapter 13. Payment-account changes must be communicated and reliably verified through an agreed secure process; an administrative register edit does not itself amend the agreement.

6 Deposit and other approved security

6.1 The deposit is the amount stated in the Certificate. It is not automatically one month's rent plus VAT, and it does not automatically rise when rental changes. No bank guarantee or personal security substitutes for a cash deposit unless separately and expressly agreed.

6.2 The agreed cash deposit is payable before handover of occupation unless the parties expressly agree another lawful deadline.

6.3 A cash deposit must be invested in an interest-bearing account with a financial institution. Where section 5(3)(d) of the Rental Housing Act applies, interest accrues for the Lessee at the account's applicable rate, which must not be lower than that institution's savings-account rate, and written proof of accrued interest must be provided on request. Any applicable property-practitioner trust-account requirements must also be observed.

6.4 The deposit and accrued interest may be applied only to amounts lawfully recoverable from the Lessee, supported by an itemised account and appropriate evidence. Fair wear and tear is not chargeable damage. Receipts supporting recoverable repair and lost-key costs must be available for inspection as required by law. The Lessee retains the right to dispute a deduction.

6.5 Where section 5(3) of the Rental Housing Act applies, the deposit and interest must be refunded within seven days of expiry if nothing is owed. Where lawful deductions apply under the ordinary inspection procedure, the balance must be refunded within fourteen days of restoration of the dwelling to the Lessor. Where the Lessee fails to respond to the exit-inspection request, the separate statutory inspection and deduction procedure applies and the balance is due within twenty-one days of expiry. Chapter 16 addresses inspection and accounting. No agreed refund nomination or unresolved claim may extend a mandatory deadline.

6.6 Any replenishment following a properly established deduction requires written explanation and an expressly agreed lawful deadline. There is no automatic immediate replenishment or deposit escalation. A representative is not a surety merely by acting for a Lessee; chapter 17 applies.

7 Utilities rates and other recoverable charges

7.1 A charge additional to rental is recoverable only where it has a lawful and expressly agreed basis. The agreement must identify the service, liable party, charging method and relevant period. The Core does not impose unidentified development expenses, municipal arrears, commercial alarm subscriptions or a new municipal deposit.

7.2 Where separately measured consumption is agreed, the Lessor must supply sufficient reading, period and rate information to explain the charge. A shared or non-metered allocation, estimate, prepaid transition or special service must be expressly described in SC. No floor-area percentage is calculated from an unmeasured Unit description.

7.3 Property rates, building-insurance premiums and increases are the Lessor's responsibility unless a lawful, expressly agreed Supplementary Condition identifies an agreed recoverable contribution and its verified basis. No unidentified baseline, historical charge or concession is incorporated.

7.4 Disputed charges must be explained and addressed through chapter 18. Neither party may use unlawful service interruption, lockout or seizure to enforce payment. Undisputed lawful charges remain payable.

8 Condition defects care and repair

8.1 The parties must jointly inspect the dwelling before the Lessee moves in and record existing defects and damage, as required by applicable law. The condition record must identify relevant equipment and keys and be attached or incorporated as required. Newly discovered defects must be reported promptly; a defect does not become the Lessee's responsibility merely because it is reported after seven days.

8.2 The Lessee must keep the interior reasonably clean and sanitary, use installations and fittings properly, take ordinary care, avoid unreasonable nuisance and report damage or unsafe conditions promptly. The Lessee is responsible for damage caused by its or its household/guests' negligent, intentional or unlawful conduct to the extent lawfully recoverable.

8.3 The Lessee is not required by a blanket clause to replace all items that cease working, remedy structural/latent defects, or pay for fair wear and tear. Responsibility for minor consumables and particular existing equipment must be clear and consistent with chapter 9.

8.4 Neither party may overload electrical installations, obstruct or damage drainage, exceed notified safe loading limits, or store unlawful or unreasonably dangerous substances. The party responsible for a proven blockage or damage must meet the properly recoverable remedy cost. This does not impose office-equipment or commercial operational requirements.

8.5 Repairs must be carried out safely and lawfully by suitable persons. The Lessee must allow properly arranged access under chapter 9. The Lessor must not transfer its safety or maintenance obligations to the Lessee merely through an entry-inspection acknowledgement.

9 Lessor maintenance access and viewings

9.1 The Lessor is responsible for the structure, exterior, common areas and essential installations, including defects not caused by the Lessee, subject to applicable law and any specifically agreed lawful allocation. The Lessee's care and causal-damage obligations remain in chapter 8.

9.2 The Lessor must respond reasonably to reported defects, arrange necessary work without unreasonable delay and minimise interference with residential occupation. Necessary emergency action must be proportionate and lawful. Neither delay nor an allegation of tenant fault excuses an immediate safety response required by law.

9.3 Except for a genuine emergency or other lawful basis, the Lessor must arrange reasonable notice, a suitable time and a legitimate purpose before entering. Access must respect privacy and security. An emergency does not authorise unrelated inspection, seizure or eviction.

9.4 Reasonable access for prospective buyers or tenants and marketing notices must be arranged without unreasonable disruption or disclosure of private information. Any particular marketing period must be expressly agreed.

10 Fixtures alterations signs and equipment

10.1 The Lessee must obtain prior written consent for material alterations, structural work, fixed installations or exterior signs/awnings beyond ordinary residential use. The Lessor must consider a request reasonably, subject to applicable law and legitimate safety, appearance and reinstatement concerns.

10.2 Any approved work must identify its scope, lawful permissions, responsible party, cost, contractor arrangements and effect on reinstatement. Those project particulars belong in an expressly agreed SC or identified approved attachment. No commercial architect, precinct standard or landlord-selected supplier is presumed.

10.3 The Lessee may remove its movable possessions and agreed removable fittings at the end of occupation, repairing damage caused by removal. Retention or removal of fixed improvements and any reinstatement obligation must follow the approved arrangement and reasonable written coordination.

10.4 Unremoved possessions are not automatically forfeited to the Lessor. Storage, notice, collection and disposal must have a lawful basis and follow an expressly agreed lawful procedure.

10.5 Business equipment, commercial signage, development works, specialised air-conditioning, paid parking systems or similar operational installations are not standard residential requirements. Use only a separately agreed and applicable SC; absence of an SC does not create a permission prohibited by law.

11 Insurance fire safety and vacancy

11.1 The Lessor must maintain appropriate building insurance and is responsible for its premiums except for a lawful, expressly agreed Supplementary Condition contribution. The Lessee is responsible for deciding whether to insure its own possessions. No business-interruption, public-liability or all-risks business policy is imposed automatically.

11.2 Each party must avoid conduct that unlawfully creates a fire hazard or knowingly prejudices agreed cover, and must promptly report a material safety incident. Any claim for an increased premium or excess must identify a lawful agreed basis and the causal conduct; it is not an automatic charge for every loss.

11.3 Responsibility for inspection, servicing and replacement of actual fire and safety equipment must be consistent with chapters 8 and 9 and applicable law. Special equipment, use-related upgrades and costs require express agreement in Supplementary Conditions. No assurance that an upgrade is unnecessary is implied.

11.4 A planned extended absence that may materially affect security, safety or insurance should be notified and coordinated. Any particular vacancy threshold or policy-related duty must be lawful, disclosed and expressly agreed.

12 Liability indemnities and exclusions

12.1 Each party remains responsible for loss or damage for which it is legally liable, with causation, responsibility and recoverable loss established. Neither party receives a blanket exemption for its negligence, unlawful conduct or breach.

12.2 The Lessee is not required to indemnify the Lessor for every injury, death, theft, weather event or third-party act merely because it occurs at the Premises. Any limited indemnity requires clear, lawful, expressly agreed terms identifying the risk and exceptions, without excluding a mandatory protection.

12.3 Loss of occupation, repairs and rent relief are governed coherently by chapter 13 and mandatory rights. General payment or care clauses do not cancel those rights. Exclusion of a warranty does not excuse an express obligation to provide agreed lawful residential occupation.

12.4 Insurance and contractual liability remain distinct. Having or lacking insurance does not by itself determine liability or permit double recovery. The parties retain their lawful rights to require proof and dispute a claim.

13 Damage destruction and loss of occupation

13.1 The parties must promptly notify each other of serious damage, take lawful reasonable safety measures and record its effect on occupation. The Lessor must explain the proposed repair/restoration plan and likely timing as soon as reasonably ascertainable.

13.2 Where the dwelling is wholly or partly unusable without the Lessee's responsibility, rent relief must reflect the lawful loss of agreed occupation. No unagreed percentage or replacement rental is imposed. A dispute about the amount or cause follows chapter 18.

13.3 Temporary accommodation, reconstruction and any agreed alternative premises require express agreement without excluding mandatory termination or other remedies. The Lessee is not obliged by this Core to accept alternative premises or an indefinite reconstruction period.

13.4 Loss of occupation does not automatically rewrite the Certificate's expiry or renewal-notice date. Any lawful agreed extension must be expressly documented and linked to the lease, preserving prior snapshots. Rights arising directly under law are not excluded by the absence of an administrative update.

14 Transfer cession and permitted dealings

14.1 A Lessee may not assign its lease obligations or grant a sublease beyond chapter 4 without the required lawful written consent. An approved household or resident arrangement must not be reclassified as prohibited occupation merely because a representative is not the person living at the Premises.

14.2 Any transfer of the Lessor's rights or obligations must respect the Lessee's existing agreement and applicable law. The Lessee must receive reliable written notice identifying the new entitled party, effective date and any lawful payment instruction.

14.3 The Lessor must account for the deposit and supporting records when management or entitlement changes. A bank-register edit or an informal communication is not itself an agreed amendment, cession or authority to redirect payments.

14.4 No party is released from an existing obligation, and no new person is made a contracting party or surety, merely through an administrative record or identification. Any intended substitution must be expressly agreed in the required form.

15 Breach cancellation holding over and recovery

15.1 A party alleging breach must identify the obligation, facts, remedy sought and any period for correction in a clear written notice using the agreed lawful process. The period and remedy must meet applicable mandatory requirements.

15.2 Where section 14 of the Consumer Protection Act applies, cancellation by the Lessor for material failure is subject to its twenty-business-day written notice and opportunity to remedy. In other cases the applicable mandatory requirements and expressly agreed lawful correction process govern. A longer period required by law cannot be displaced. An allegation of breach does not itself cancel the agreement.

15.3 Cancellation, early termination and any charge require a lawful basis and the applicable notice. Where section 14 of the Consumer Protection Act applies, the Lessee may cancel a fixed-term agreement on twenty business days' notice, subject to amounts lawfully due and any statutorily permitted reasonable cancellation penalty. There is no automatic debt equal to all rentals remaining in the term. Damages or a cancellation charge must be properly established without double recovery.

15.4 Neither party may evict, lock out, seize possessions or unlawfully cut services to enforce a claim. Termination and recovery of possession are separate steps; lawful court process and applicable residential protections must be respected.

15.5 Continued occupation after expiry or disputed cancellation must be dealt with under the applicable continuation/holding-over rules. Acceptance of a payment must be recorded accurately and does not, by this clause alone, settle a disputed renewal, cancellation or waiver. Mandatory continuation rights remain unaffected.

15.6 Recovery costs, interest and evidential certificates require a lawful, expressly agreed basis. This Core does not make a unilateral debt certificate conclusive, waive lawful defences, impose automatic untaxed attorney-client costs or authorise disposal of possessions outside a lawful process.

16 Expiry handover and final accounting

16.1 At lawful termination or expiry the Lessee must return possession, keys and agreed items in the required condition, allowing for fair wear and tear and recorded existing defects. Where section 5(3)(f) of the Rental Housing Act applies, the parties must arrange a joint exit inspection at a mutually convenient time within the three days before expiry.

16.2 Entry and exit records, dated evidence and actual costs must distinguish pre-existing condition, fair wear and tear and recoverable damage. Where the Lessee fails to respond to the exit-inspection request and section 5(3)(k) applies, the Lessor must inspect within seven days after expiry. A failure by the Lessor to carry out required inspections has the consequences prescribed by law, including the applicable restriction on claims and obligation to refund the deposit and interest. The statutory protections cannot be waived by a condition acknowledgement.

16.3 The Lessor must provide an itemised closing account identifying rental, charges, damage claims, deposit, interest, deductions and the balance, with supporting receipts available as required. The refund deadlines in clause 6.5 apply to the relevant statutory procedure and trigger. Accounting, disputed claims or completion of repairs do not create an open-ended right to retain the deposit.

16.4 Fixtures, alterations and personal possessions must be dealt with under the approved chapter 10 arrangement. Loss of rent during repair is not automatically recoverable; responsibility, reasonable repair period, actual loss and the lawful basis of any claim must be established.

16.5 The Lessee must provide a verified refund instruction where needed, without surrendering a right to prompt accounting or refund. Refund-account nomination and lawful disclosure must

protect personal/banking information. The property payment account must not be substituted for the Lessee's account.

17 Contracting authority and multiple Lessees

17.1 The contracting parties are those identified in the Certificate and effective execution documents. A representative must have the authority required to bind a party, supported by the necessary evidence. A recorded name, identification number or office description is not conclusive proof of that authority.

17.2 A representative of a juristic Lessee does not incur personal suretyship or co-principal-debtor liability merely by signing in that representative capacity. Any intended personal security requires a separate expressly agreed instrument, identified obligations, proper parties and required execution. No such instrument is created by this Core.

17.3 An unformed entity, nominee or proposed substitution requires a specifically reviewed and expressly agreed arrangement. No automatic formation deadline, adoption deadline or personal liability is created by this Core. The actual legal Lessee must be identified before execution.

17.4 Multiple genuine Lessees remain separate contracting parties. The allocation of their obligations, including any intended joint or several liability, must be expressly stated in the agreement subject to applicable law. Repetition or suppression of an administrative entry does not determine who contracted, signed or owes an obligation.

18 Expert determination and disputes

18.1 A party raising a dispute must explain the issue and requested outcome, and the parties should first attempt a practical resolution without losing urgent or mandatory remedies. Payment, safety or privacy issues must not be used to bypass the lawful dispute process.

18.2 A technical question may be referred to an independent expert only under an expressly agreed procedure defining the question, appointment, evidence, costs and effect of the decision. No particular institution or automatic finality is presumed.

18.3 This Core does not impose compulsory private arbitration. The parties may agree an appropriate lawful process, without excluding a competent court, Rental Housing Tribunal or other non-excludable statutory remedy. Each forum remains subject to its actual jurisdiction.

18.4 Urgent lawful relief is not prevented by negotiation or an agreed technical referral. Expert and arbitration processes must not overlap inconsistently or obstruct mandatory residential protections. A private decision does not substitute for an eviction order where one is required.

19 Notices and service

19.1 Contractual service addresses and any permitted electronic channel must be expressly designated in an agreed service-address record incorporated into the lease. An existing contact record may be designated by express agreement, but ordinary contact information is not designated automatically.

19.2 A formal notice must be clear, recorded and delivered by a permitted method. Ordinary management messages are not automatically statutory or contractual notices. Email is a formal service channel only where validly agreed or otherwise effective under applicable law.

19.3 A change of service address or channel must be communicated reliably and take effect only under the approved notice mechanism. The right to use a statutory service method is not waived by a contact-field change.

19.4 Receipt and deemed-receipt rules must be appropriate to the approved channel and expressly agreed or supplied by applicable law. An unread message, failed delivery or historical

fax number does not by itself establish receipt. A fax or registered-post presumption does not automatically apply to email.

19.5 Mandatory deadlines use the legally applicable calendar/business-day method. The rental due-date rule in 5.2 is distinct from notice deadlines. Administrative renewal prompts do not establish delivery or compliance with statutory notice obligations.

20 General terms costs and effectiveness

20.1 The agreement is governed by South African law, subject to applicable residential and consumer protections. No Core term or SC may waive a non-excludable protection.

20.2 The identified components form the agreement under chapter 1. A variation, cancellation by agreement or waiver must be expressly recorded and agreed in the legally required form. An administrative save or preview does not execute the lease or confirm a variation.

20.3 A relaxation does not automatically waive future rights. An invalid or unenforceable provision is severable to the extent permitted by law, without invalidating the remainder where it can lawfully operate. Severance must not be used to invent a different bargain.

20.4 No preparation fee, stamp duty or indemnified legal-cost scale is automatically imposed. An approved lawful charge must identify responsibility, basis and amount or determination method, ordinarily through SC where transaction-specific.

20.5 The complete identified agreement is to be executed through the separate Signature Page by the actual parties or properly authorised representatives, with copies provided to the parties. Nothing here denies a tenancy or mandatory right that arises by law before or without that execution. Lawful counterpart and electronic execution must comply with the applicable requirements.